

Law of Contract – I

LL.B. – Paper I

Unit-wise Important Questions

5 Marks • 10 Marks (Case Law with Illustrations) • 15 Marks

Unit	5 Marks	10 Marks (case law)	15 Marks
Unit I	10	5	4
Unit II	10	5	4
Unit III	10	5	4
Unit IV	10	4	4
Unit V	12	4	5

How to use: Part A gives short-answer questions, Part B gives case-law questions with a model answer outline (principle, case table and an illustration), and Part C gives long-answer questions with the key points to cover. For citations in the examination, cross-check against the law report or your prescribed readings (Anson; Krishnan Nair; G.C.V. Subba Rao; T.S. Venkatesha Iyer; Avatar Singh).

Unit-I: Definition and Essentials of Contract, Offer, Acceptance, Consideration, Privity and Standard Form Contracts

Part A — 5 Marks Questions

1. Define contract. State the essential elements of a valid contract under Sections 2(h) and 10 of the Indian Contract Act, 1872.
2. Distinguish between an offer and an invitation to treat. (Harvey v. Facey; Pharmaceutical Society v. Boots)
3. General offer and specific offer – explain with reference to Carlill v. Carbolic Smoke Ball Co.
4. What are the essentials of a valid acceptance? Explain why acceptance must be absolute and unqualified.
5. Explain the rules of communication of offer and acceptance (Section 4). What is the postal rule?
6. Explain how an offer may be revoked (Sections 5 and 6). Can an acceptance be revoked?
7. Discuss the legal position of contracts formed through electronic means (emails, click-wrap, IT Act, 2000).
8. Define consideration. Explain its salient features (Section 2(d)).
9. State the exceptions to the rule “no consideration, no contract” (Section 25).
10. Explain the doctrine of privity of contract. What are its important exceptions?

Part B — 10 Marks Questions (Case Law with Illustrations)

Q1. Distinguish an offer from an invitation to treat and explain the law on general offers with reference to Carlill v. Carbolic Smoke Ball Co. and Harvey v. Facey. Illustrate.

Principle: Under Section 2(a) of the Indian Contract Act, 1872, an offer is a signification of willingness to do or abstain from doing something with a view to obtaining the assent of another. A mere invitation to make offers (a shop display, a price list, a catalogue, an auction announcement) or a bare statement of price is not an offer. An offer may also be made to the world at large and is then accepted by any person who performs the stipulated conditions.

Carlill v. Carbolic Smoke Ball Co.	
Citation	[1893] 1 QB 256 (Court of Appeal)
Facts	The company advertised that it would pay £100 to anyone who caught influenza after using its smoke ball three times daily for two weeks as directed, and stated that £1,000 was deposited at the Alliance Bank. Mrs. Carlill used the ball as directed, caught influenza, and claimed the reward.
Issue	Was the advertisement a binding offer capable of acceptance by performance, or a mere advertising puff? Was notice of acceptance necessary?
Held	The Court held that it was a valid offer to the world, accepted by anyone who performed the conditions. The deposit of money showed a serious intention to be bound, notice of acceptance was not required, and the use of the smoke ball was good consideration.
Significance	Leading authority on general offers and on acceptance by performance; the same principle is reflected in Section 8 of the Indian Act.

Harvey v. Facey	
Citation	[1893] AC 552 (Privy Council)
Facts	Harvey telegraphed, “Will you sell us Bumper Hall Pen? Telegraph lowest cash price.” Facey replied, “Lowest price for Bumper Hall Pen, £900.” Harvey telegraphed that he accepted the price, but Facey did not proceed.

Issue	Was Facey's reply an offer to sell that Harvey could accept?
Held	No. Facey had answered only the question about the lowest price and had not answered the question whether he would sell. A statement of price given in reply to an inquiry is not an offer, so no contract arose.
Significance	Distinguishes a supply of information or a price quotation from an offer that is capable of acceptance.

Illustration

A shopkeeper displays a phone in his window marked Rs. 15,000. Ravi walks in and says, "I will buy it at Rs. 15,000." The display is only an invitation to treat; Ravi makes the offer, and the shopkeeper is free to accept or refuse. Separately, a company advertises, "Rs. 5,000 to anyone who finds a defect in this product within one year despite proper use; Rs. 5 lakh is deposited with XYZ Bank." This is a general offer as in *Carlill*, and any user who fulfils the conditions can claim the reward.

Q2. Explain the rules on communication of offer and acceptance and the law relating to contracts made by telephone and electronic means with reference to *Bhagwandas Goverdhandas Kedia v. Girdharilal Parshottamdas & Co.* and *Trimex International FZE v. Vedanta Aluminium Ltd.* Illustrate.

Principle: Under Sections 3 and 4, communication of a proposal is complete when it comes to the knowledge of the person to whom it is made, and acceptance is complete as against the proposer when it is put in course of transmission to him, and as against the acceptor when it comes to the proposer's knowledge. The postal rule does not suit instantaneous communication such as the telephone, telex and video calls, where the contract is formed when acceptance is received. The Information Technology Act, 2000 (Sections 4, 10A, 12 and 13) gives legal recognition to electronic contracts and fixes the time and place of dispatch and receipt.

Bhagwandas Goverdhandas Kedia v. Girdharilal Parshottamdas & Co.

Citation	AIR 1966 SC 543
Facts	The parties, at Ahmedabad and Khamgaon, negotiated a sale of goods over the telephone. A dispute arose about the place where the contract was made, which decided the court's territorial jurisdiction.
Issue	Where and when is a contract formed when the offer and acceptance are exchanged by telephone?
Held	The Court held that when parties are not in each other's presence and use instantaneous means such as the telephone, the contract is made at the place where the acceptance is heard by the offeror. The postal rule does not apply to such communications.
Significance	The leading Indian authority on contracts by telephone and other instantaneous means; it follows the English rule in <i>Entores v. Miles Far East Corporation</i> .

Trimex International FZE Ltd. v. Vedanta Aluminium Ltd.

Citation	(2010) 3 SCC 1
Facts	The parties negotiated a sale of bauxite through an exchange of emails and did not sign a formal agreement. When a dispute arose, Vedanta denied that any concluded contract existed.
Issue	Can a binding contract, including an arbitration clause, be concluded through an exchange of emails without a signed document?

Held	The Supreme Court held that a contract can be concluded through electronic correspondence if the parties have agreed on the essential terms; the Contract Act does not require a contract to be signed, and the Information Technology Act, 2000 recognises electronic communication.
Significance	Confirms the validity of contracts formed by email and supports electronic formation of contracts.

Illustration

A in Hyderabad sends an offer by letter to B in Delhi, and B posts his acceptance on 5 May; A's revocation, posted the same day, reaches B on 7 May. The contract is complete on 5 May, and the revocation is too late. If B had instead accepted over the telephone, the contract would be formed when A heard the acceptance. If B sends an email saying "I accept your terms" and A's server receives it, the time of receipt is determined by Section 13 of the IT Act, 2000, and the email exchange is a valid contract.

Q3. Explain the meaning and essentials of consideration and the exceptions to the rule "no consideration, no contract", with reference to Durga Prasad v. Baldeo and Kedar Nath Bhattacharji v. Gorie Mohamed. Illustrate.

Principle: Section 2(d) defines consideration as something done, abstained from, or promised at the desire of the promisor, by the promisee or any other person. It may be past, present or future; it need not be adequate but must be real and lawful. Section 25 states the exceptions: (1) a written and registered promise made on account of natural love and affection between near relatives, (2) a promise to compensate for past voluntary services, and (3) a written and signed promise to pay a time-barred debt. Gifts actually made and agency (Section 185) are other exceptions.

Durga Prasad v. Baldeo	
Citation	(1880) ILR 3 All 221
Facts	The plaintiff spent money constructing shops in a market and, in return, the defendant promised to pay him a commission on the goods sold at the shops.
Issue	Was the plaintiff's expenditure good consideration for the defendant's promise, though the defendant himself received no direct benefit?
Held	The Court held that expenditure incurred at the defendant's desire is good consideration. Under Indian law, what matters is that the act was done at the desire of the promisor, and not that the promisor derived a benefit.
Significance	Shows the wider Indian definition of consideration under Section 2(d) as compared with the English requirement of benefit or detriment.

Kedar Nath Bhattacharji v. Gorie Mohamed	
Citation	(1886) ILR 14 Cal 64
Facts	The defendant subscribed Rs. 100 to a fund for building a town hall at Howrah. On the faith of the subscriptions, the plaintiff, as Secretary of the Municipality, entered into a contract with a builder, but the defendant refused to pay.
Issue	Is a subscription promise enforceable when the promisee incurs liability on the strength of it?
Held	The Court held that the promise was enforceable, since the plaintiff had incurred a liability by making a contract with the builder on the faith of the subscription, which amounted to consideration.

Significance	Shows that consideration may consist of an act done in reliance on a promise made at the promisor's desire.
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Illustration

A promises in writing to pay Rs. 1 lakh to his adult son on account of natural love and affection, and registers the deed. The promise is valid without consideration under Section 25(1). If A's neighbour B voluntarily saves A's house from fire and A afterwards promises in writing to pay him Rs. 10,000 for it, the promise is enforceable under Section 25(2). If A promises orally, without writing, to pay Rs. 5,000 to his friend for nothing, there is no consideration and the promise is void.

Q4. Explain the doctrine of privity of contract and its exceptions with reference to Tweddle v. Atkinson, Dunlop v. Selfridge and Chinnaya v. Ramayya. Illustrate.

Principle: Only the parties to a contract can sue or be sued upon it, and a stranger to the contract cannot enforce it even if it was made for his benefit. In English law the rule is linked to the requirement that consideration must move from the promisee, but in India consideration may move from any person (Section 2(d)); privity of contract is still required. The exceptions include trusts and charges, family arrangements and marriage settlements, acknowledgment or estoppel, assignment, covenants running with the land, agency, and statutory rights such as those of insurance beneficiaries.

Tweddle v. Atkinson	
Citation	(1861) 1 B & S 393
Facts	The father of a bride and the father of the groom agreed in writing to pay a sum of money to the groom. The bride's father died without paying, and the groom sued his executor.
Issue	Can a person named in a contract, but who is not a party to it and has given no consideration, enforce it?
Held	No. The groom was a stranger to the contract and to the consideration and could not sue.
Significance	The origin of the doctrine of privity in English law.

Dunlop Pneumatic Tyre Co. v. Selfridge & Co.	
Citation	[1915] AC 847 (House of Lords)
Facts	Dunlop sold tyres to a dealer, Dew & Co., who agreed not to sell below list prices and to obtain the same undertaking from retailers. Selfridge, a retailer, agreed to this condition but sold tyres below the list price, and Dunlop sued.
Issue	Could Dunlop enforce the undertaking given by Selfridge to the dealer?
Held	No. Dunlop was not a party to the contract between the dealer and Selfridge, and consideration had not moved from Dunlop to Selfridge, so Dunlop could not sue.
Significance	Restated the rule that a stranger cannot enforce a contract, and that consideration must move from the promisee.

Chinnaya v. Ramayya	
Citation	(1882) ILR 4 Mad 137
Facts	A woman gave land to her daughter on condition that the daughter would pay an annuity to the donor's brother. The daughter agreed, but later refused to pay, and the brother sued.

Issue	Can a person for whose benefit a contract was made, though not a party to it, enforce it?
Held	The Court allowed the brother to sue: the arrangement was made for his benefit and the daughter's promise was made to the donor. It also held that consideration may proceed from a person other than the promisee.
Significance	A leading Indian authority on the exception in favour of a beneficiary, followed in <i>M.C. Chacko v. State Bank of Travancore (SC)</i> .

Illustration

A sells his house to B, and B promises A that he will pay Rs. 5 lakh to A's daughter C. If B refuses to pay, C cannot ordinarily sue B, as she is not a party. If, however, A had created a trust in favour of C, or the arrangement was a family settlement or marriage settlement, C could enforce it. In the same way, the beneficiary of a life insurance policy taken for the benefit of a spouse or children can claim under the policy.

Q5. Explain the concept of a standard form contract and the judicial control of unfair terms with reference to *Central Inland Water Transport Corporation v. Brojo Nath Ganguly* and *Thornton v. Shoe Lane Parking*. Illustrate.

Principle: A standard form contract is a contract in which one party (usually a business with superior bargaining power) drafts the terms and the other party has only the choice to accept them or to leave them (a “take it or leave it” contract). Such contracts (tickets, insurance policies, bank forms, click-wrap agreements) save time but may contain unfair exclusion clauses. Courts control them through the requirement of notice, the contra proferentem rule, the doctrine of unconscionability, Section 23 (public policy) and, for consumers, the unfair contract provisions of the Consumer Protection Act, 2019.

Central Inland Water Transport Corporation Ltd. v. Brojo Nath Ganguly	
Citation	(1986) 3 SCC 156; AIR 1986 SC 1571
Facts	Rule 9(i) of the Corporation's service rules allowed it to terminate the services of a permanent employee by three months' notice or pay in lieu, without giving any reason. Employees were terminated under this rule when the Corporation was reorganised, and challenged it.
Issue	Is a term in a standard form contract, made between parties of very unequal bargaining power, valid if it is unconscionable and unreasonable?
Held	The Supreme Court held that Rule 9(i) was unconscionable, unreasonable and opposed to public policy, and was therefore void under Section 23 of the Contract Act and Article 14 of the Constitution. The Court said that courts will not enforce an unfair and unreasonable clause in a contract entered into between parties of unequal bargaining power.
Significance	The leading Indian case on unconscionable terms in standard form contracts.

Thornton v. Shoe Lane Parking Ltd.	
Citation	[1971] 2 QB 163 (Court of Appeal)
Facts	Thornton drove into an automatic car park and took a ticket from a machine. The ticket stated that it was issued subject to conditions displayed inside the car park, which excluded liability for injury to customers. Thornton was injured because of the car park's negligence.
Issue	Was Thornton bound by the exclusion clause, which he had no notice of when the contract was made?

Held	No. The contract was concluded when Thornton put his money in the machine, and the conditions on the ticket came too late. Notice of a particularly onerous term must be given before or at the time the contract is made.
Significance	Shows that an exclusion clause in a standard form is not binding unless reasonable notice has been given at or before the contract is made.

Illustration

A user installs a mobile application and clicks “I agree” to a long set of terms, one of which states that the company is not liable for any loss, including loss caused by its own negligence, and can change the terms at any time. If the term is hidden, one-sided and imposed on a consumer with no bargaining power, a court can refuse to enforce it as unconscionable (Brojo Nath Ganguly), and the user may also seek relief under the Consumer Protection Act, 2019.

Part C — 15 Marks Questions

1. **Define contract. Discuss the essential elements of a valid contract, with the help of decided cases.**

Key points: Section 2(h), 2(e), 2(b), 10; agreement + enforceability; offer, acceptance, intention to create legal relations (*Balfour v. Balfour*; *Rose & Frank v. Crompton*), lawful consideration and object, capacity, free consent, certainty, possibility of performance, not expressly declared void, legal formalities (writing/registration). Cite *Carlill*; *Mohori Bibee*; *Lalman Shukla v. Gauri Dutt*.

2. **Discuss the law relating to acceptance and revocation of offer and acceptance, including contracts made through electronic media.**

Key points: Sections 2(b), 3, 4, 5, 6, 7, 8; absolute and unqualified acceptance (*Hyde v. Wrench*); mode of acceptance; acceptance by conduct (Section 8: *Lalman Shukla*; *Carlill*); silence (*Felthouse v. Bindley*); postal rule; instantaneous communication (*Entores*; *Bhagwandas Kedia*); IT Act, 2000 – Sections 4, 10A, 11-13; click-wrap and e-agreements; *Trimex v. Vedanta*.

3. **Define consideration. Explain its essentials and discuss the exceptions to the rule that a promise without consideration is void.**

Key points: Section 2(d) and Section 25; *Currie v. Misa*; consideration at the desire of the promisor (*Durga Prasad v. Baldeo* vs. *Kedar Nath v. Gorie Mohamed*); adequacy (*Chappell v. Nestle*); past, present and future consideration; performance of legal duty; stranger to consideration; Section 25(1) natural love and affection (*Rajlukhy Dabee v. Bhootnath*), 25(2) past voluntary service, 25(3) time-barred debt; also Sections 185 (agency) and gifts under *Transfer of Property Act*.

4. **What is a standard form contract? Discuss its advantages, disadvantages and the judicial control over unfair terms. Also explain the doctrine of privity of contract and its exceptions.**

Key points: Take-it-or-leave-it contracts; ticket cases (*Parker v. South Eastern Railway*; *Thornton v. Shoe Lane Parking*; *Lily White v. Munuswami*); unconscionable terms – *Central Inland Water Transport Corp. v. Brojo Nath Ganguly* (1986); *LIC v. Consumer Education & Research Centre* (1995); Section 23 (public policy); *Consumer Protection Act, 2019* on unfair contracts; fundamental breach; privity – *Tweddle, Dunlop, M.C. Chacko*.

Unit-II: Capacity, Free Consent, Lawful Object, Void, Voidable and Contingent Contracts

Part A — 5 Marks Questions

1. Who is competent to contract? (Section 11). Explain the position of persons disqualified by law.
2. Explain the effect of a minor's agreement. Can a minor be a promisee or beneficiary?
3. Explain the doctrine of restitution in the case of a minor (Section 33 of the Specific Relief Act, 1963).
4. Contracts with persons of unsound mind – explain Section 12 with illustrations.
5. What is undue influence? Explain when a presumption of undue influence arises.
6. Distinguish between fraud and misrepresentation (Sections 17 and 18).
7. Explain the effect of mistake on the validity of a contract (Sections 20, 21 and 22).
8. Explain the difference between void agreement, voidable contract and illegal agreement.
9. What is a wagering agreement? Distinguish it from a contingent contract (Sections 30 and 31).
10. Explain agreements in restraint of trade under Section 27 and their exceptions.

Part B — 10 Marks Questions (Case Law with Illustrations)

Q1. Explain the effect of an agreement made by a minor with reference to Mohori Bibee v. Dharmodas Ghose and Khan Gul v. Lakha Singh. Illustrate.

Principle: Under Sections 10 and 11, only a person who has attained the age of majority (18 years under the Indian Majority Act, 1875, or 21 where a guardian has been appointed by court) is competent to contract. A minor's agreement is absolutely void and cannot be ratified after majority; there is no estoppel against a minor. A minor may however be a promisee or beneficiary, and a person who supplies necessities can recover from the minor's property (Section 68). Restitution of benefits is allowed under Section 33 of the Specific Relief Act, 1963.

Mohori Bibee v. Dharmodas Ghose	
Citation	(1903) 30 IA 114 (Privy Council); ILR 30 Cal 539
Facts	Dharmodas Ghose, a minor, mortgaged his house to Brahmo Dutt, a moneylender, to secure a loan of Rs. 20,000, of which only part was actually advanced. After Brahmo Dutt's death, his executor sought to enforce the mortgage, and Dharmodas sued to have it cancelled.
Issue	Is a minor's agreement void or merely voidable, and can the lender recover the money advanced?
Held	The Privy Council held that a minor's agreement is void ab initio, since a minor is incompetent to contract under Section 11. The mortgage was set aside, and the lender could not recover the money he had advanced.
Significance	The foundation case on the effect of a minor's agreement in India.

Khan Gul v. Lakha Singh	
Citation	AIR 1928 Lah 609 (Full Bench)
Facts	Khan Gul, a minor, sold land to Lakha Singh and received the price. He later sued to recover the land on the ground of his minority.
Issue	Can a minor who has received a benefit under a void agreement obtain relief without returning it?

Held	The Court held that although the agreement was void, the minor who seeks the assistance of the court must restore the benefit received, and the price was ordered to be refunded to the extent the minor had received it. This is the equitable doctrine of restitution.
Significance	Contains the principle later enacted in Section 33 of the Specific Relief Act, 1963.

Illustration

A, aged 17, agrees to sell his motorcycle to B for Rs. 50,000 and receives the money. On attaining majority A refuses to deliver, and B sues. B cannot enforce the void agreement, but if the money is traceable in A's hands, a court may order restitution. If a shopkeeper supplies A with food and clothing suited to his station in life, the shopkeeper can recover the price from A's property, but not from A personally (Section 68).

Q2. Explain coercion and undue influence with reference to Ranganayakamma v. Alwar Setti and Lloyds Bank v. Bundy. Illustrate.

Principle: Consent is free when it is not caused by coercion, undue influence, fraud, misrepresentation or mistake (Section 14). Coercion (Section 15) is committing or threatening to commit an act forbidden by the Indian Penal Code, or unlawfully detaining property, to cause a person to enter into an agreement. Undue influence (Section 16) arises when a person is in a position to dominate another's will and uses that position to obtain an unfair advantage; in the cases stated in Section 16(2), a presumption of undue influence arises. As laid down in Subhas Chandra Das Mushib v. Ganga Prasad Das Mushib, the court first asks whether the relationship enables domination, then whether the influence was used to obtain an unfair advantage, and the burden of proof then lies on the dominant party. A contract induced by either is voidable (Section 19 and 19A).

Ranganayakamma v. Alwar Setti	
Citation	(1889) ILR 13 Mad 214
Facts	After a man's death, his relatives prevented his widow from removing his body for cremation until she adopted a boy. The widow adopted the boy under this pressure and later challenged the adoption.
Issue	Was the adoption caused by coercion, since obstructing the cremation of a dead body was forbidden by law?
Held	The Court held that preventing the cremation of a body was an act forbidden by the Penal Code, so the consent to adoption was obtained by coercion, and the adoption was set aside.
Significance	An early illustration of coercion under Section 15.

Lloyds Bank Ltd. v. Bundy	
Citation	[1975] QB 326 (Court of Appeal)
Facts	Mr. Bundy, an elderly farmer, guaranteed his son's company's overdraft and charged his farmhouse as security, relying on the bank manager's advice and without independent advice. The company failed, and the bank sought to enforce the charge.
Issue	Was the guarantee obtained through undue influence, as the bank stood in a position of trust and the bargain was one-sided?
Held	The Court of Appeal set aside the guarantee and charge. Lord Denning's wider principle of inequality of bargaining power was later not accepted by the House of Lords, but the case remains an illustration of undue influence arising from a relationship of trust and confidence.
Significance	Shows that a bank or adviser in a position of confidence must ensure that the other party has independent advice.

Illustration

A threatens to shoot B unless B signs a promissory note for Rs. 1 lakh in A's favour. B signs; this is coercion, and the note is voidable at B's option. Separately, A, a bedridden old man, depends entirely on his nurse B, who induces him to sell her his land worth Rs. 20 lakh for Rs. 50,000. Because B is in a position to dominate A's will and the bargain is unconscionable, the presumption of undue influence arises, and the burden is on B to prove that no undue influence was used.

Q3. Distinguish fraud from misrepresentation with reference to Derry v. Peek and Redgrave v. Hurd. Illustrate.

Principle: Fraud (Section 17) involves a false statement made knowingly, without belief in its truth, or with intent to deceive, together with active concealment, a promise made without intention to perform, or any other act fitted to deceive; mere silence is not fraud unless there is a duty to speak. Misrepresentation (Section 18) is an innocent false statement made without intent to deceive. Either makes the contract voidable at the option of the deceived party (Section 19), but only fraud gives a right to damages in tort of deceit. The exception to Section 19 says that a contract is not voidable for misrepresentation if the party had the means of discovering the truth with ordinary diligence.

Derry v. Peek	
Citation	(1889) 14 App Cas 337 (House of Lords)
Facts	The prospectus of a tramway company stated that it was authorised to use steam power. The directors honestly believed that the Board of Trade's consent was a mere formality, but the Board refused consent. Peek, who had bought shares on the strength of the statement, sued the directors for deceit.
Issue	Does a false statement made in the honest belief that it is true amount to fraud?
Held	The House of Lords held that fraud is proved only when a false representation is made knowingly, without belief in its truth, or recklessly, not caring whether it is true or false. An honest belief, however unreasonable, negatives fraud, so the directors were not liable in deceit.
Significance	The leading authority on the meaning of fraud; it is reflected in Section 17.

Redgrave v. Hurd	
Citation	(1881) 20 Ch D 1 (Court of Appeal)
Facts	Hurd, a solicitor, induced Redgrave to buy his practice and house by stating that the practice earned about £300 a year, but the papers showed a much smaller income. Redgrave had not examined the papers, and Hurd argued that Redgrave should have checked them.
Issue	Can a party rescind for misrepresentation when he had the means to discover the truth?
Held	The Court held that Redgrave could rescind. A person who makes a false statement cannot excuse himself by arguing that the other party ought to have checked it, even if the misrepresentation was innocent.
Significance	Compare the exception to Section 19 of the Indian Act, which applies where the party had the means of discovering the truth with ordinary diligence.

Illustration

A sells a second-hand car to B, telling B that it has run only 20,000 km, though A knows that the odometer was tampered with and the car has run 90,000 km. A's statement is fraud; B may rescind the contract and also claim damages. If A honestly believed the meter reading and the meter was in fact faulty, it is an innocent misrepresentation, and B can only rescind.

Q4. Explain the effect of mistake on a contract with reference to *Raffles v. Wichelhaus* and *Couturier v. Hastie*. Illustrate.

Principle: Under Section 20, where both parties to an agreement are under a mistake as to a matter of fact essential to the agreement, the agreement is void. Under Section 21, a contract is not voidable because of a mistake as to a law not in force in India, and under Section 22, a contract is not voidable merely because it was caused by one party's mistake as to a matter of fact. Unilateral mistake generally does not affect the contract, except in cases such as mistake as to the identity of the person or the nature of the document.

Raffles v. Wichelhaus	
Citation	(1864) 2 H & C 906
Facts	The buyer agreed to buy cotton to arrive ex "Peerless" from Bombay. There were two ships named Peerless, sailing in October and December. The buyer meant the October ship, and the seller meant the December ship, and the buyer refused to accept the cotton from the December ship.
Issue	Is there a contract when the parties, each meaning a different ship, are at cross purposes?
Held	The Court held for the buyer, since there was no consensus ad idem: the parties were talking about different ships, so no contract was formed.
Significance	The classic example of a mistake that prevents agreement; it is the basis of Section 20 of the Indian Act.

Couturier v. Hastie	
Citation	(1856) 5 HL Cas 673
Facts	A cargo of corn was sold while in transit from Salonica. Unknown to both parties, the corn had already been sold by the ship's master because it had begun to ferment. The buyer refused to pay.
Issue	Is the buyer bound to pay for goods that no longer existed when the contract was made?
Held	The House of Lords held that the buyer was not liable: the contract was for the sale of an existing cargo, and since the subject matter did not exist, there was nothing to sell.
Significance	A leading illustration of mistake as to the existence of the subject matter; compare Illustration (a) to Section 20.

Illustration

A agrees to buy from B a specific horse, which, unknown to both, had died the night before. The agreement is void under Section 20. In contrast, if A buys a painting believing that it is by a famous artist though the seller has said nothing about it, A's mistake is unilateral and A cannot avoid the contract under Section 22.

Q5. Explain agreements opposed to public policy and immoral agreements, and the effect of wagering agreements, with reference to Gherulal Parakh v. Mahadeodas Maiya and Pearce v. Brooks. Illustrate.

Principle: Under Section 23, the consideration or object of an agreement is unlawful if it is forbidden by law, defeats the provisions of law, is fraudulent, involves injury to person or property, is immoral or is opposed to public policy, and every such agreement is void. Section 30 declares wagering agreements void, but it does not make them illegal, and a collateral transaction to a wager is not affected. The heads of public policy are settled, and courts should not invent new ones.

Gherulal Parakh v. Mahadeodas Maiya	
Citation	AIR 1959 SC 781
Facts	Two persons formed a partnership to trade in wheat through forward contracts, and one of them sued the other for his share of the business losses. The defence was that the partnership was formed for wagering and was therefore void and unlawful.
Issue	Is a partnership formed to carry on wagering transactions void under Sections 23 and 30 of the Contract Act, and what is the scope of the doctrine of public policy?
Held	The Supreme Court held that a wagering agreement is void but not forbidden by law, so a partnership to carry on such business is not void as unlawful; Section 30 does not invalidate collateral transactions. The Court also stated that public policy is a doctrine to be applied within settled heads and courts should not create new heads.
Significance	The leading Indian case on public policy and wagering agreements.

Pearce v. Brooks	
Citation	(1866) LR 1 Ex 213
Facts	A coachbuilder let a carriage on hire to a prostitute, knowing that it would be used to attract clients. She failed to pay the hire, and he sued.
Issue	Can a person recover money under a contract when he knowingly supplied goods for an immoral purpose?
Held	The Court held that he could not recover, since a person who knowingly supplies goods for an immoral purpose cannot enforce the contract.
Significance	An example of an agreement with an immoral object that is unenforceable under Section 23.

Illustration

A agrees to pay B Rs. 10,000 if a certain horse wins tomorrow's race, and B agrees to pay A if it does not. This is a wager and is void, so neither can sue the other. If, however, A lets a room to B knowing that B will use it as a gambling den for illegal activities, the contract has an unlawful object, and A cannot recover the rent. A promise to pay a bribe to a public servant to obtain a licence is opposed to public policy and void.

Part C — 15 Marks Questions

- Discuss the capacity of parties to a contract. Explain the effect of agreements made by minors and persons of unsound mind.**

Key points: Sections 11, 12; Indian Majority Act, 1875; Mohori Bibee; Raghava Chariar; Suraj Narain Dube v. Sukhu Aheer (no estoppel against minor); Section 68 necessities – Nash v. Inman; Section 33 SRA; Section 30 Partnership Act; minor as agent; persons disqualified by law: alien enemy, insolvents, foreign sovereign, convicts, corporations (*ultra vires*).

2. **What is meant by free consent? Discuss coercion, undue influence, fraud, misrepresentation and mistake as vitiating elements.**

Key points: Sections 13-22 and 19A; Ranganayakamma; Chikham Amiraju; Subhas Chandra Das Mushib; Lloyds Bank v. Bundy; Derry v. Peek; Redgrave v. Hurd; mistake of fact vs. law; bilateral mistake – Raffles v. Wichelhaus (Peerless), Couturier v. Hastie, Galloway v. Galloway; unilateral mistake – Smith v. Hughes, Cundy v. Lindsay; Bell v. Lever Bros.; mistake as to identity (Phillips v. Brooks; Lewis v. Averay).

3. **Explain the meaning of lawful object and consideration. Discuss immoral, illegal and public policy agreements, with cases.**

Key points: Sections 23 and 24; unlawful heads: forbidden by law, defeat provisions of law, fraudulent, injury to person or property, immoral, opposed to public policy; Pearce v. Brooks; Gherulal Parakh v. Mahadeodas Maiya (1959); Central Inland Water Transport v. Brojo Nath Ganguly; agreements in restraint of trade (Section 27) – Madhub Chunder v. Rajcoomar Doss; Niranjana Shankar Golikari v. Century Spinning (1967); Gujarat Bottling v. Coca Cola (1995); severability; restraint of marriage (Section 26); restraint of legal proceedings (Section 28).

4. **Discuss uncertain agreements, wagering agreements and contingent contracts. Distinguish between void and voidable contracts.**

Key points: Sections 29, 30, 31-36, 2(g), 2(i), 2(j); Scammell v. Ouston; Carlill (not a wager); wagering essentials, exceptions (prize competitions – R.M.D. Chamarbaugwalla v. Union of India), Gherulal Parakh; contingent contract vs. wager; insurance as contingent contract; consequences of void agreements – Section 65 restitution; collateral transactions to wager; rights of a bona fide third party.

Unit-III: Discharge of Contracts

Part A — 5 Marks Questions

1. Explain the various modes of discharge of a contract.
2. What is tender or offer of performance? State the essentials of a valid tender (Section 38).
3. Explain the rules of appropriation of payments (Sections 59-61). What is the rule in Clayton's Case?
4. Explain the rights and liabilities of joint promisors (Sections 42-45).
5. Explain novation (Section 62) with illustration.
6. Explain remission of performance and its effect (Section 63).
7. Write a short note on accord and satisfaction.
8. Explain the meaning and essentials of impossibility of performance under Section 56.
9. Distinguish between anticipatory breach and actual breach of contract.
10. Explain the rights of the promisee on an anticipatory breach (Hochster v. De la Tour).

Part B — 10 Marks Questions (Case Law with Illustrations)

Q1. Explain the doctrine of frustration under Section 56 with reference to Taylor v. Caldwell and Satyabrata Ghose v. Mugneeram Bangur & Co. Illustrate.

Principle: Under the second paragraph of Section 56, a contract to do an act which, after the contract is made, becomes impossible or unlawful by reason of some event that the promisor could not prevent becomes void when the act becomes impossible or unlawful. The Supreme Court has held that Section 56 is exhaustive and the English doctrine of implied term is not applied in India. "Impossible" includes situations in which the object of the contract has become impracticable or useless. A party who has received an advantage under a void contract must restore it (Section 65).

Taylor v. Caldwell	
Citation	(1863) 3 B & S 826
Facts	Caldwell agreed to let the Surrey Gardens and Music Hall to Taylor for four concerts. Before the first concert, the hall was destroyed by fire without the fault of either party, and Taylor sued for his expenses.
Issue	Are the parties liable when the subject matter of the contract is destroyed without their fault?
Held	The Court held that both parties were excused: the continued existence of the hall was the foundation of the contract, so there was an implied condition that the contract would be discharged if it perished.
Significance	The origin of the doctrine of frustration.

Satyabrata Ghose v. Mugneeram Bangur & Co.	
Citation	AIR 1954 SC 44
Facts	A company agreed to sell plots of land in a development scheme near Calcutta to the plaintiff. During World War II the Government requisitioned the land, and the company pleaded that the contract had become impossible and was discharged. The plaintiff sued for conveyance.
Issue	Was the contract frustrated by the requisition, and what is the scope of "impossible" in Section 56?

Held	The Supreme Court held that Section 56 covers frustration and is not based on an implied term, and that “impossible” includes cases where the object of the contract is defeated. On the facts, however, the contract was not frustrated: no time for performance was fixed and the requisition was only temporary, so the company remained bound.
Significance	The leading Indian case on frustration; it holds that the doctrine is confined to cases where a supervening event strikes at the root of the contract.

Illustration

A agrees to sing at B’s wedding on 20 December, but on 10 December A becomes paralysed and cannot sing; the contract becomes void under Section 56. If X contracts to supply cement at Rs. 400 a bag and the market price rises to Rs. 500, the contract is not frustrated because a mere rise in price only makes performance more expensive, and X must perform (*Alopi Parshad & Sons v. Union of India*).

Q2. Explain the doctrine of frustration of the commercial purpose with reference to *Krell v. Henry* and *Herne Bay Steam Boat Co. v. Hutton*. Illustrate.

Principle: A contract may be frustrated even though performance remains physically possible, where a supervening event destroys the foundation or the common purpose of the contract. In Section 56, the words “impossible” and “unlawful” have been interpreted in India to include the failure of the object that both parties had in mind. The test is whether the event has destroyed the whole purpose that was the foundation of the contract in the contemplation of both parties.

Krell v. Henry	
Citation	[1903] 2 KB 740 (Court of Appeal)
Facts	Henry hired a flat in Pall Mall for 26 and 27 June 1902 to view the coronation procession of Edward VII and paid a deposit. The procession was cancelled because the King fell ill, and Krell, the owner, sued for the balance of the rent.
Issue	Was Henry bound to pay the balance when the coronation procession was cancelled?
Held	The Court held that Henry was excused: although the flat still existed, viewing the procession was the foundation of the contract, known to both parties, and it had failed.
Significance	The leading “coronation case” on frustration of purpose.

Herne Bay Steam Boat Co. v. Hutton	
Citation	[1903] 2 KB 683 (Court of Appeal)
Facts	Hutton hired a steamboat for the day of the naval review at Spithead and to cruise round the assembled fleet. The review was cancelled, but the fleet remained, and Hutton refused to pay.
Issue	Was the contract frustrated when the naval review was cancelled?
Held	The Court held that the contract was not frustrated. The review was not the sole foundation of the contract; cruising around the fleet was still possible, so Hutton was liable.
Significance	Shows that frustration applies only when the entire foundation of the contract fails.

Illustration

A hires a hotel room overlooking the route of a cricket parade scheduled for a specific day, and the hotel knows why; the parade is cancelled by the Government on that day. The purpose of the hiring has failed, and A is excused (*Krell v. Henry*). If, instead, A hires a boat to visit an island for a festival that is cancelled but the island can still be visited for other purposes, the contract is not frustrated.

Q3. Explain anticipatory breach of contract and the options of the aggrieved party with reference to *Hochster v. De la Tour* and *Avery v. Bowden*. Illustrate.

Principle: Anticipatory breach occurs when a party repudiates the contract before the time for performance, by express words or by conduct that makes performance impossible. Under Section 39, the promisee may put an end to the contract unless he has signified, by words or conduct, his acquiescence in its continuance. The innocent party may accept the repudiation and sue at once for damages, or wait until the date of performance and keep the contract alive for both parties, at his own risk.

Hochster v. De la Tour	
Citation	(1853) 2 E & B 678
Facts	De la Tour engaged Hochster as a courier for a three-month tour beginning on 1 June 1852. On 11 May he told Hochster that his services would not be needed, and Hochster sued on 22 May, before the date of performance.
Issue	Can the promisee sue for breach before the date fixed for performance when the promisor has repudiated the contract?
Held	The Court held that Hochster could sue immediately. The refusal to perform was a breach of the implied promise not to renounce the contract before the due date, so he need not wait until 1 June.
Significance	The leading case on anticipatory breach.

Avery v. Bowden	
Citation	(1855) 5 E & B 714
Facts	Bowden, the charterer's agent at Odessa, told the ship's captain that there would be no cargo, but the captain waited at Odessa in the hope that the charterer would perform. Before the time for loading expired, the Crimean War broke out, which made performance illegal.
Issue	Can the shipowner claim damages when he elected to keep the contract alive and a supervening event discharged it?
Held	No. By declining to treat the repudiation as a breach, the captain kept the contract alive, and it was therefore discharged by the outbreak of war, without liability on either side.
Significance	Shows the risk taken by a promisee who chooses to wait for the performance date.

Illustration

A agrees to deliver 100 bales of cotton to B on 1 December. On 1 October A writes, "I will not supply the cotton." B may treat the contract as broken and sue at once for the difference between the contract price and the market price, or wait until 1 December. If B waits and the government bans cotton trade before 1 December, the contract is discharged and B loses his claim, as in *Avery v. Bowden*.

Q4. Explain discharge of a contract by accord and satisfaction, novation and remission with reference to Lata Construction v. Dr. Rameshchandra Ramniklal Shah. Illustrate.

Principle: A contract may be discharged by agreement. Under Section 62, if the parties substitute a new contract for the old one, or rescind or alter it, the original contract need not be performed (novation). Section 63 allows the promisee to dispense with or remit performance, to extend the time, or to accept any satisfaction he thinks fit; unlike English law, Indian law does not require fresh consideration for such remission. In accord and satisfaction, the parties agree to accept different performance (the accord) and it is carried out (the satisfaction).

Lata Construction v. Dr. Rameshchandra Ramniklal Shah	
Citation	(2000) 1 SCC 586
Facts	A contractor completed construction work for the owner, accepted the final payment and gave a receipt in full and final settlement of its claims. It later raised further claims and sought to refer them to arbitration.
Issue	Does a receipt given in full and final settlement discharge the contract and bar further claims and arbitration?
Held	The Supreme Court held that when a contract is discharged by accord and satisfaction, freely and voluntarily given, no dispute remains to be referred to arbitration. The party who alleges that the receipt was obtained by coercion, fraud or undue influence must prove it.
Significance	An important authority on discharge by accord and satisfaction and its effect on the arbitration clause.

Illustration

A owes B Rs. 10,000. A, B and C agree that C will pay B Rs. 10,000 and A will be discharged; this is novation by substitution of a debtor. If B agrees to accept Rs. 7,000 in full satisfaction of the debt and A pays it, B cannot sue for the balance (Section 63), even though there was no fresh consideration. If B accepts a horse instead of cash and it is delivered, the debt is discharged by accord and satisfaction.

Q5. Explain discharge by performance and the rule as to entire contracts with reference to Cutter v. Powell. Illustrate.

Principle: A contract is discharged when the parties perform their obligations (Section 37). Where performance is entire, the promisee is not bound to pay unless the whole is performed. Under Section 38, a valid tender of performance, if refused, discharges the promisor from liability for non-performance, but does not discharge him from the contract. The Indian law of quantum meruit (Sections 65 and 70) and the doctrine of part performance mitigate the harshness of the entire contract rule.

Cutter v. Powell	
Citation	(1795) 6 Term Rep 320
Facts	Powell agreed to pay Cutter 30 guineas if he served as second mate on a ship from Jamaica to Liverpool, payable on arrival. Cutter died about halfway through the voyage, and his widow claimed a proportionate part of the wages.
Issue	Can the widow recover for the part of the work done when the contract was to be performed in full before payment?
Held	The Court held that she could not recover. The contract was entire, and payment was conditional on full performance of the voyage, which was not completed.
Significance	The leading case on entire contracts, whose severity has been reduced by later doctrines such as quantum meruit.

Illustration

A agrees to build a house for B for Rs. 10 lakh, payable on completion. A completes 80% of the work and abandons it. Under the strict rule in *Cutter v. Powell*, A cannot recover the price. But if B has accepted and used the completed portion, A may be entitled to compensation for the benefit received under Section 70. If A had tendered the whole performance and B refused to accept it, A would not lose his rights (Section 38).

Part C — 15 Marks Questions

1. **Explain the different modes of discharge of contract by performance. Discuss tender, appropriation of payments and performance by joint promisors.**

Key points: Sections 37-61; time and place of performance (Sections 46-50); effect of refusal to accept offer of performance (Section 38); *Startup v. Macdonald*; entire contracts – *Cutter v. Powell*; substantial performance; *Sumpter v. Hedges*; *Clayton's Case (Devaynes v. Noble)*; Sections 42-45 (joint promisors: any one may be compelled; contribution among promisors; release of one).

2. **Discuss the doctrine of frustration of contracts. What is its scope in India after *Satyabrata Ghose v. Mugneeram Bangur*?**

Key points: Section 56 (paras 1-3); *Taylor v. Caldwell*; *Krell v. Henry*; *Herne Bay*; *Satyabrata Ghose*; *Sushila Devi v. Hari Singh (1971)*; *Alopi Parshad*; *Davis Contractors v. Fareham UDC*; *Energy Watchdog*; Section 65 restitution; compensation under Section 56 para 3; impact of COVID-19 and force majeure (*Halliburton v. Vedanta, Delhi HC 2020*).

3. **Define breach of contract. Explain anticipatory breach and actual breach and the remedies available.**

Key points: Section 39; *Hochster v. De la Tour*; *Frost v. Knight*; *Avery v. Bowden*; election to affirm or rescind; actual breach before or during performance; remedies: rescission (Section 75), damages (Section 73), quantum meruit, specific performance and injunction under SRA, 1963; duty to mitigate.

4. **Discuss discharge of contracts by agreement, with reference to novation, remission, accord and satisfaction and alteration.**

Key points: Sections 62, 63, 64; *Lata Construction v. Rameshchandra Shah*; *Kishorilal Gupta*; *Foakes v. Beer* vs. *Illustration (b) to Section 63*; distinction between novation and rescission; effect on arbitration clause; Section 62 alteration by consent; executed and executory accord.

Unit-IV: Quasi Contracts and Remedies for Breach of Contract

Part A — 5 Marks Questions

1. What is a quasi-contract? Explain the basis of quasi-contractual liability.
2. Explain liability for necessities supplied to a person incapable of contracting (Section 68).
3. Explain the right of a person who pays money in which another is interested (Section 69).
4. Explain the liability to pay for non-gratuitous acts (Section 70). State the essentials.
5. Explain the rights and duties of a finder of lost goods (Sections 71, 168 and 169).
6. Explain the liability of a person to whom money is paid or anything delivered by mistake or under coercion (Section 72).
7. What is quantum meruit? When can it be claimed?
8. What are the different kinds of damages? Distinguish between ordinary, special and nominal damages.
9. Distinguish between liquidated damages and penalty (Section 74).
10. Explain the duty of the injured party to mitigate damages.

Part B — 10 Marks Questions (Case Law with Illustrations)

Q1. Explain the liability to pay for non-gratuitous acts under Section 70 with reference to State of West Bengal v. B.K. Mondal & Sons. Illustrate.

Principle: Section 70 provides that where a person lawfully does anything for another person, or delivers anything to him, not intending to do so gratuitously, and the other person enjoys the benefit of it, the latter must compensate the former or restore the thing. The essentials are: (i) the act must be lawfully done; (ii) it must not be intended to be gratuitous; and (iii) the other person must enjoy the benefit. The liability is not contractual but quasi-contractual and rests on the principle against unjust enrichment.

State of West Bengal v. B.K. Mondal & Sons	
Citation	AIR 1962 SC 779
Facts	A contractor constructed buildings and did related work for the State Government at the request of Government officers, but no formal written contract complying with Article 299 of the Constitution was made. The Government used the buildings and then refused to pay.
Issue	Is the Government liable to compensate a person for work done for it under Section 70 where there is no valid contract?
Held	The Supreme Court held that the State was liable under Section 70 because the work was lawfully done, was not intended to be gratuitous, and the Government enjoyed its benefits. The liability arises independently of contract.
Significance	Confirms that Section 70 applies to governments, subject to the condition that the benefit is voluntarily accepted.

Illustration

A, a plumber, repairs a leaking pipe in B's flat at the request of B's caretaker, when B is away. B returns, sees that the work has been done and continues to use the repaired pipe. Though there is no contract between A and B, A can recover reasonable compensation from B under Section 70.

Q2. Explain the liability of a person to whom money is paid or anything delivered by mistake or under coercion (Section 72) with reference to Sales Tax Officer, Banaras v. Kanhaiya Lal Mukund Lal Saraf. Illustrate.

Principle: Section 72 provides that a person to whom money has been paid, or anything delivered, by mistake or under coercion, must repay or return it. “Mistake” includes mistake of law as well as of fact, and “coercion” has a wider meaning than in Section 15, covering a payment made under compulsion or pressure. The section is based on the principle that no person should retain a benefit that he has received without a legal right to it.

Sales Tax Officer, Banaras v. Kanhaiya Lal Mukund Lal Saraf	
Citation	AIR 1959 SC 135
Facts	A firm paid sales tax to the Sales Tax Officer under assessment orders that were later held to be beyond his jurisdiction. It claimed a refund of the tax paid, and the State argued that the payments were voluntary or that the claim was time-barred.
Issue	Can the taxpayer recover money paid to the State under an illegal demand, and does Section 72 cover mistake of law?
Held	The Supreme Court held that Section 72 applies to payments made under mistake of law as well as of fact, and that money paid under compulsion of a demand made without authority of law is recoverable. The State was bound to refund the amount.
Significance	The leading case on refund of tax and other payments made under mistake or compulsion.

Illustration

A bank by mistake credits Rs. 50,000 to B's account instead of C's. B spends Rs. 20,000 and refuses to return the rest. Under Section 72, B must repay the whole amount, since it was paid by mistake. Similarly, if an authority collects a fee without any legal authority, the person who paid it can recover the amount.

Q3. Explain the rule of remoteness of damage under Section 73 with reference to Hadley v. Baxendale and Victoria Laundry (Windsor) Ltd. v. Newman Industries. Illustrate.

Principle: Section 73 entitles a party who suffers from a breach to compensation for loss or damage which naturally arose in the usual course of things from the breach, or which the parties knew when they made the contract to be likely to result from it. Compensation is not given for any remote and indirect loss. The injured party must also take reasonable steps to mitigate the loss, and cannot recover for loss he could have avoided.

Hadley v. Baxendale	
Citation	(1854) 9 Exch 341
Facts	The crankshaft of the plaintiffs' mill broke, and they sent it through the defendant carriers to be used as a pattern for a new one. Delivery was delayed by several days, and the mill remained closed. The plaintiffs claimed the profits lost during the delay.
Issue	Can the carrier be held liable for loss of profits when he did not know that the mill was stopped until the shaft was returned?
Held	The Court held that the carrier was not liable for the lost profits. Damages are recoverable only for loss that arises naturally from the breach or that was in the contemplation of both parties at the time of the contract; special circumstances must be communicated.
Significance	The source of the two-limb rule of remoteness now contained in Section 73.

Victoria Laundry (Windsor) Ltd. v. Newman Industries Ltd.

Citation	[1949] 2 KB 528 (Court of Appeal)
Facts	Newman agreed to deliver a boiler to the laundry by 5 June 1946, but delivered it in November. The laundry claimed loss of its normal profits and also loss of profits from lucrative government contracts that it could have taken up.
Issue	To what extent can the buyer recover loss of profits caused by delayed delivery?
Held	The Court held that the laundry could recover the normal loss of profit that the seller ought to have foreseen as a likely result of delay, but not the exceptional profits from the special contracts, of which the seller had no knowledge.
Significance	Refined Hadley v. Baxendale by holding that the test is what was reasonably foreseeable at the time of the contract.

Illustration

A contracts to supply 1,000 bags of cement to B at Rs. 400 a bag by 1 January and fails; the market price on that date is Rs. 450, so B's ordinary damages are Rs. 50,000. If B had told A that the cement was for a bridge and that he would pay a penalty of Rs. 2 lakh for delay, B can recover that as special damages. B cannot recover for a loss that he could have avoided by buying cement promptly in the market.

Q4. Explain liquidated damages and penalty under Section 74 with reference to Fateh Chand v. Balkishan Dass and Kailash Nath Associates v. Delhi Development Authority. Illustrate.

Principle: Section 74 provides that where a contract has been broken and a sum is named in the contract as the amount payable on breach, or the contract contains a stipulation by way of penalty, the party complaining of breach is entitled, whether or not actual damage is proved, to reasonable compensation not exceeding the amount named or the penalty stipulated. The English distinction between liquidated damages and penalty has lost much of its importance in India, since the court awards only reasonable compensation. A stipulation for forfeiture of earnest money falls within the section.

Fateh Chand v. Balkishan Dass	
Citation	AIR 1963 SC 1405
Facts	A contract for the sale of immovable property provided for the forfeiture of Rs. 25,000, consisting of Rs. 1,000 as earnest money and Rs. 24,000 paid as part of the price, if the purchaser failed to pay. On the purchaser's default, the vendor forfeited the whole amount.
Issue	Can a party retain the whole sum stipulated as forfeiture on breach without proof of loss?
Held	The Supreme Court held that Section 74 applies to stipulations for forfeiture as well. The vendor could retain only reasonable compensation for the breach, and the forfeiture of the larger sum was in the nature of a penalty. Only the earnest money of Rs. 1,000 could be retained, and the balance had to be refunded.
Significance	The leading Indian case on Section 74 and forfeiture; it states that the party must be awarded reasonable compensation, not the whole stipulated sum.

Kailash Nath Associates v. Delhi Development Authority	
Citation	(2015) 4 SCC 136
Facts	The Delhi Development Authority auctioned a plot to Kailash Nath Associates, which paid 25% of the price as earnest money and failed to pay the balance. The DDA cancelled the sale and forfeited the earnest money.

Issue	Can the DDA forfeit the earnest money without proving that it suffered any loss?
Held	The Supreme Court held that Section 74 applies to forfeiture of earnest money. Where the damage is capable of being proved, the party must prove it; the court can award the stipulated amount without proof only where the loss is impossible or extremely difficult to prove, and even then, only reasonable compensation not exceeding the amount named can be allowed.
Significance	Restates the principles governing Section 74 and forfeiture of earnest money.

Illustration

A contracts to construct a building for B and agrees to pay Rs. 10,000 per day of delay, subject to a maximum of Rs. 5 lakh. A is late by 20 days. B is entitled to reasonable compensation up to Rs. 2 lakh and must show that he suffered loss, unless it is difficult to prove. If a contract for goods worth Rs. 1 lakh says that on default the defaulter shall pay Rs. 10 lakh, the court will award only reasonable compensation not exceeding Rs. 10 lakh.

Part C — 15 Marks Questions

1. **Explain the concept of quasi-contracts. Discuss the obligations under Sections 68 to 72 of the Indian Contract Act.**

Key points: Nature and basis (unjust enrichment); Section 68 – *Nash v. Inman*; Section 69 – *Exall v. Partridge*; Section 70 – *State of West Bengal v. B.K. Mondal*; *Mulamchand v. State of M.P.*; Section 71 – finder of goods: *Bridges v. Hawkesworth*, *Armory v. Delamirie*; Sections 168-169; Section 72 – *Kanhaiya Lal Mukund Lal Saraf*; *Shiba Prasad Singh v. Srish Chandra Nandi*; distinction between contract and quasi contract.

2. **What are the remedies available for breach of contract? Explain in detail the law relating to damages and the rules on remoteness and mitigation.**

Key points: Sections 73, 75; rescission, damages, quantum meruit, specific performance, injunction; kinds of damages; *Hadley v. Baxendale*; *Victoria Laundry*; *Jamal v. Moolla Dawood*; *Jarvis v. Swans Tours*; *Addis v. Gramophone*; measure of damages in sale of goods and construction contracts; Explanation to Section 73; damages for wrongful dismissal.

3. **Discuss Section 74 of the Indian Contract Act. Distinguish liquidated damages from a penalty and discuss the leading cases.**

Key points: Section 74 text; Explanation and Exception; *Fateh Chand v. Balkishan Dass*; *Maula Bux v. Union of India*; *ONGC v. Saw Pipes*; *Kailash Nath Associates v. DDA*; *Dunlop v. New Garage*; earnest money and security deposit; interest on default; comparison with English law; recent trends.

4. **Explain the doctrine of quantum meruit. When can a party claim under quantum meruit and what are the limitations?**

Key points: Meaning: “as much as he has earned”; applications – Section 65, Section 70, Section 72; contract abandoned or repudiated; part performance of divisible or entire contracts (*Cutter v. Powell*; *Sumpter v. Hedges*); *Alopi Parshad v. Union of India*; breach by the other party; claim in addition to damages; distinction from damages.

Unit-V: Specific Relief Act, 1963 (including 2018 Amendment), Injunctions, LLP, Infrastructure Contracts and Arbitration

Part A — 5 Marks Questions

1. Explain the remedy of recovery of possession of immovable property (Sections 5 and 6 of the Specific Relief Act).
2. Explain the concept of specific performance as a rule and not as an exception after the 2018 Amendment.
3. What are the contracts which cannot be specifically enforced? (Section 14, as substituted in 2018)
4. Explain substituted performance under Section 20 of the Specific Relief Act, 2018.
5. What is rectification of instruments? When can it be granted? (Section 26)
6. Explain rescission of contracts (Sections 27-30).
7. Explain cancellation of instruments (Section 31).
8. Explain declaratory decrees (Sections 34 and 35).
9. Distinguish between temporary and perpetual injunctions (Section 37).
10. Explain the injunction to perform a negative agreement (Section 42) with reference to Lumley v. Wagner.
11. Explain the special provisions for contracts relating to infrastructure projects (Sections 20A-20C).
12. What is an arbitration agreement? Explain Section 7 and Section 8 of the Arbitration and Conciliation Act, 1996.

Part B — 10 Marks Questions (Case Law with Illustrations)

Q1. Explain the changes made by the Specific Relief (Amendment) Act, 2018 in the law on specific performance, with reference to Katta Sujatha Reddy v. Siddamsetty Infra Projects. Illustrate.

Principle: Before 2018, specific performance was a discretionary remedy, granted when damages were not an adequate remedy. The Specific Relief (Amendment) Act, 2018, in force from 1 October 2018, substituted Section 10 so that specific performance “shall” be enforced by the court subject only to Sections 11(2), 14 and 16, and deleted the former Section 20. Section 14 (as substituted) bars specific performance of contracts where substituted performance has been obtained, involving continuous duty that the court cannot supervise, dependent on personal qualifications, or determinable in nature. Section 20 introduced substituted performance after a 30-day notice, Section 14A allows the court to engage experts, and Sections 20A to 20C and 41(ha) deal with infrastructure projects.

Katta Sujatha Reddy v. Siddamsetty Infra Projects Pvt. Ltd.	
Citation	Supreme Court of India, 2022; recalled on review in 2024 (verify the citation from the law report)
Facts	A suit for specific performance of an agreement of sale was filed in respect of a transaction that pre-dated the 2018 Amendment. The question was whether the amended Sections 10 and 20 applied to it.
Issue	Does the Specific Relief (Amendment) Act, 2018 apply retrospectively to transactions and suits that pre-date 1 October 2018?
Held	In 2022 the Supreme Court held that the Amendment is substantive and prospective, so it does not apply to transactions before 1 October 2018, and that the date of the transaction is relevant. That judgment was reviewed and recalled in 2024, and the position on pre-Amendment transactions continues to be discussed by the courts.
Significance	Shows that the 2018 change from discretion to rule is substantive; students should check the latest position on its applicability before quoting the case.

Illustration

A agrees to buy a plot from B for Rs. 40 lakh and pays Rs. 5 lakh in advance, but B refuses to execute the sale deed. Under the amended Act, A may sue for specific performance, and the court must grant it unless a bar in Sections 11(2), 14 or 16 applies. A builder fails to complete a road; the promisee can serve a 30-day notice, have the road built through another contractor, and recover the cost, but cannot then claim specific performance. A contract for a painter's personal services cannot be specifically enforced (Section 14).

Q2. Explain the principles for the grant of a temporary injunction with reference to *Wander Ltd. v. Antox India Pvt. Ltd.* Illustrate.

Principle: Section 36 of the Specific Relief Act, 1963 provides for preventive relief by injunction. Section 37 distinguishes temporary injunctions, which continue until a specified time or further orders of the court (governed by Order XXXIX of the Code of Civil Procedure, 1908), from perpetual injunctions, which are granted by a decree at the hearing (Section 38). The court considers three factors: (i) a prima facie case, (ii) the balance of convenience, and (iii) irreparable injury. Section 41 lists cases in which injunctions are refused, including, after 2018, cases in which they would impede an infrastructure project.

Wander Ltd. v. Antox India (P) Ltd.	
Citation	1990 Supp SCC 727
Facts	Wander Ltd. sought a temporary injunction against Antox India in a dispute concerning the use of the trade mark “Cal-De-Ce” in the pharmaceutical business. The trial court's order was reversed by the High Court, and the matter came to the Supreme Court.
Issue	On what principles should a court grant a temporary injunction, and how far can an appellate court interfere with the trial court's discretion?
Held	The Supreme Court held that the relief is granted to preserve the status quo and to protect the plaintiff from irreparable injury pending trial, upon a prima facie case and balance of convenience. An appellate court should not interfere merely because it would have exercised the discretion differently; it can interfere only if the discretion was exercised arbitrarily, capriciously or perversely.
Significance	Leading authority on temporary injunctions, followed in <i>Dalpat Kumar v. Prahlad Singh</i> (1992) 1 SCC 719.

Illustration

A neighbour, B, starts constructing a wall that encroaches on A's land. A files a suit and asks for a temporary injunction to stop the construction until trial. If A shows a prima facie case (title documents), that the balance of convenience favours him (the wall is still at foundation stage), and that he will suffer irreparable injury (permanent loss of the passage), the court will grant it. After trial, the court can grant a perpetual injunction, and if the wall has already been built, a mandatory injunction for its removal (Section 39).

Q3. Explain the injunction to perform a negative agreement (Section 42) with reference to *Lumley v. Wagner* and *Warner Bros. Pictures v. Nelson*. Illustrate.

Principle: Where a contract contains an affirmative agreement to do certain acts and a negative agreement not to do certain acts, the court, though unable to compel specific performance of the affirmative agreement, may under Section 42 grant an injunction to perform the negative agreement, provided the plaintiff has not failed to perform the contract so far as it is binding on him. Under the amended Section 14, contracts dependent on personal qualifications are not specifically enforceable, but the negative covenant may still be enforced through an injunction.

Lumley v. Wagner	
Citation	(1852) 1 De GM & G 604
Facts	Miss Wagner, an opera singer, agreed to sing at Lumley's theatre for a fixed period and not to sing elsewhere without his written consent. She then agreed to sing at a rival theatre, and Lumley sued.
Issue	Can the court restrain her from singing elsewhere, though it cannot compel her to sing for Lumley?
Held	The Court granted an injunction restraining her from singing at any other theatre during the term of the agreement. It refused to compel her to perform her affirmative promise but enforced the negative covenant.
Significance	The leading case on the enforcement of negative covenants in personal service contracts.

Warner Bros. Pictures Inc. v. Nelson	
Citation	[1937] 1 KB 209
Facts	The actress Bette Davis agreed to act exclusively for Warner Bros. for a period and not to act for others. She went to England and agreed to act in films for another producer.
Issue	Can the court restrain her from working for others during the term of her contract?
Held	The Court granted an injunction restraining her from working for others, though it did not compel her to work for Warner Bros. The negative stipulation was enforced, since it did not reduce her to idleness or force her to perform.
Significance	Shows that the negative covenant is enforced with care, so as not to compel performance of a personal service contract indirectly.

Illustration

A footballer agrees to play only for club X for three years and not to play for any other club. If he signs with a rival club, X cannot compel him to play, but can obtain an injunction under Section 42 to restrain him from playing for the rival club, provided X has performed its own part of the contract. In *Gujarat Bottling Co. v. Coca Cola Co.* (1995), the Supreme Court enforced a negative covenant not to deal in competing products during the term of the agreement.

Q4. Explain the impact of COVID-19 on the performance and specific performance of contracts with reference to *Halliburton Offshore Services Inc. v. Vedanta Ltd.* and *Energy Watchdog v. CERC*. Illustrate.

Principle: Contractual performance during the pandemic is governed by the force majeure clause, if any; Section 56 (impossibility and frustration); Section 73 (damages); and, for specific performance, Sections 10, 14 and 16(c) of the Specific Relief Act, including the plaintiff's continuous readiness and willingness. Where the contract contains a force majeure clause, its terms apply in preference to Section 56. Pandemic disruption may excuse or suspend performance only where it actually prevented performance, and hardship or delay alone is not enough. The Supreme Court also excluded the period from 15 March 2020 to 28 February 2022 in computing limitation.

Halliburton Offshore Services Inc. v. Vedanta Ltd.	
Citation	Delhi High Court, O.M.P.(I)(COMM) 88/2020, decided on 29 May 2020
Facts	Halliburton was in delay in performing a contract with Vedanta, and the completion date had passed before the national lockdown was announced. It sought to restrain Vedanta from invoking bank guarantees, and argued that COVID-19 was a force majeure event.

Issue	Can COVID-19 be pleaded as force majeure to excuse a party that was already in breach before the lockdown?
Held	The Court held that a party that was already in breach before the lockdown could not rely on the pandemic to excuse the earlier default (“once in breach, always in breach”), and refused to restrain the encashment of the guarantees.
Significance	Shows that COVID-19 is not a blanket excuse; causation and prior default are decisive.

Energy Watchdog v. Central Electricity Regulatory Commission	
Citation	(2017) 14 SCC 80
Facts	Power generators that had bid for power supply contracts, relying on imported coal, argued that a change in the Indonesian coal pricing regulations had made performance unviable, and claimed relief under change in law, force majeure and frustration.
Issue	Can a party claim frustration or force majeure because performance has become more expensive?
Held	The Supreme Court held that an increase in the cost of performance does not frustrate a contract, and where the contract has its own force majeure clause, the clause and not Section 56 governs. The events relied on were not covered by the clause.
Significance	Remains the leading authority on the relation between force majeure clauses and Section 56, and was applied to pandemic claims.

Illustration

A agrees to sell a flat to B by 31 March 2020, and B must pay the balance by that date. The lockdown closes the registry office, and B cannot complete the registration. When B later sues for specific performance, the court will examine whether B was continuously ready and willing to perform, and the lockdown period will be taken into account in judging the delay. If B had already defaulted in January 2020, B cannot rely on COVID-19 to excuse the earlier default. A seller who could deliver but wishes to escape because the market price has fallen cannot plead force majeure.

Part C — 15 Marks Questions

1. **Discuss the salient features of the Specific Relief (Amendment) Act, 2018. How far has it changed the law on specific performance of contracts?**

Key points: Sections 6, 10, 11, 14, 14A, 15(fa), 16, 19(ca), 20, 20A-20C, 21, 41(ha); discretionary to mandatory; substituted performance; experts; infrastructure projects (Schedule); Katta Sujatha Reddy (2022 and review in 2024); K. Narendra; Satya Jain v. Anis Ahmed Rushdie; readiness and willingness (Section 16(c)); comparison of pre- and post-amendment law.

2. **Explain the law relating to recovery of possession of property, rectification of instruments, rescission of contracts and cancellation of instruments.**

Key points: Sections 5, 6, 7, 8, 9; Section 26 (rectification – mutual mistake/fraud; Craddock Brothers v. Hunt); Sections 27-30 (rescission – when granted and refused, restitution and compensation); Sections 31-33 (cancellation – voidable instruments, apprehension of serious injury); Section 33 restitution; illustrations.

3. **What is a declaratory decree? Discuss the kinds of injunctions and the principles for the grant of temporary and perpetual injunctions.**

Key points: Sections 34-35 (declaration of status or right; proviso – further relief); Sections 36-42; temporary (Order XXXIX CPC) vs. perpetual; mandatory vs. prohibitory; three-fold test – Wander v. Antox; Dalpat Kumar v. Prahlad Singh; Section 41 refusal grounds; Section 42 – Lumley v. Wagner; Warner Bros. v. Nelson; Gujarat Bottling v. Coca Cola; damages in lieu of injunction (Section 40).

4. **Explain the special provisions for contracts relating to infrastructure projects and the role of arbitration in resolving contractual disputes under the Arbitration and Conciliation Act, 1996.**

Key points: Sections 20A, 20B, 20C and Schedule of SRA, 2018; Section 41(ha); Special Courts; disposal within 12 months; A&C Act, 1996: Section 7 (arbitration agreement; incorporation by reference – *M.R. Engineers v. Som Datt Builders*), Section 8 (reference to arbitration), Section 9 (interim measures), Sections 11, 16, 34; *Trimex v. Vedanta*; *Vidya Drolia v. Durga Trading Corp.* (2020) on arbitrability; effect of accord and satisfaction on arbitration clause (*Kishorilal Gupta*; *Lata Construction*).

5. **Write an essay on the Limited Liability Partnership Act, 2008 and its relevance to the law of contract, and discuss the impact of COVID-19 on specific performance of contracts.**

Key points: LLP: separate legal entity, limited liability of partners, perpetual succession, contract by LLP through partners as agents, Sections 15(fa) and 19(ca) of the SRA on amalgamated LLPs; comparison with Partnership Act, 1932 and companies; COVID-19: force majeure, Section 56, *Halliburton v. Vedanta*; *Standard Retail v. G.S. Global*; *Energy Watchdog*; limitation extension by the Supreme Court; readiness and willingness.